



Corporate accounting

Companies use money in different ways—some borrow to pay for investment to grow bigger, while others prefer to hold a lot of cash and to rely on income generation rather than borrowing in order to expand. Much depends on the type of business and the management style. Start-ups and smaller companies tend to need a lot of cash in the early days, while larger, more established companies are better at growing their income internally and may hoard cash.

Cashflow

This indicates how much income a business is generating, and how this compares to its costs and the expenses that it has to pay out. A company is said to have a positive cashflow if its income exceeds its expenses. *See pp.36–39*

Smoothing earnings

This business practice, aimed at reducing volatility in income and reported profit, uses accounting techniques to limit fluctuations in company earnings. *See pp.34–35*

Net income

This is the income that a company reports at the end of the financial year after costs and expenses have been deducted. It is calculated by starting with the revenue earned and then taking away the cost of tax, expenses, banking and interest charges, depreciation of assets, staff costs, and any other expenses involved in operating the business. *See pp.28–29*

Income = \$10,000

